CHAPTER 9

FINANCIAL STATEMENTS II

CHAPTER ESSENCE AT A GLANCE:
Incorporate year-end closing adjustments: outstanding expenses, prepayments, accrued revenues, bad debts, provisions for doubtful debts, and manager commission into final accounts.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Dual Effect of Adjustments:** Every adjustment transaction appearing outside the trial balance requires two distinct postings: one in Trading and P&L Account to match revenue, and one in the Balance Sheet as asset or liability.

• **Accrual Matching Mechanics:** Outstanding expenses are added to respective expense heads and shown as current liabilities; prepaid expenses are deducted from expenses and shown as current assets.

• **Bad Debts and Provision Dynamics:** Actual bad debts plus required new provision minus existing trial balance provision determines the net charge to Profit and Loss Account.

• **Managerial Commission Thresholds:** Commission payable on profit before charging such commission uses standard rate; commission on net profit after charging commission uses an adjusted fraction.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Net Provision in P\&L} = \text{Bad Debts} + \text{New Provision Required} - \text{Old Existing Provision}$$

P&L Provision for Doubtful Debts Charge

$$\text{Commission (Before Charging)} = \text{Net Profit Before Commission} \times \frac{\text{Rate}}{100}$$

Standard Managerial Commission Formula

$$\text{Commission (After Charging)} = \text{Net Profit Before Commission} \times \frac{\text{Rate}}{100 + \text{Rate}}$$

After-Charging Managerial Commission Rule

$$\text{Balance Sheet Sundry Debtors} = \text{Trial Balance Debtors} - \text{Further Bad Debts} - \text{New Provision}$$

Prudential Net Realizable Debtors Value

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Adjustments given outside the trial balance have a dual effect (two places); items already given inside the trial balance are posted to only one place in final accounts.

• **Alert:** Always calculate new provision for doubtful debts strictly on good debtors, after deducting any further bad debts given in adjustments.

• **Alert:** Interest on Drawings is an income credited to Profit and Loss Account and deducted from proprietor capital in the Balance Sheet.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Why are year-end adjustment entries necessary before preparing the final accounts? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Accrual Principle Adherence:** To incorporate unrecorded revenues and costs pertaining to the accounting period so that revenues match incurred expenses. **[1 Mark]**

• **True and Fair Presentation:** To ensure that the Profit and Loss Account exhibits true operational performance and the Balance Sheet depicts the true financial position. **[1 Mark]**

2. Explain the accounting treatment of Outstanding Expenses and Prepaid Expenses in the Balance Sheet. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Outstanding Expenses:** Represent unpaid operational services incurred during the year; shown as a Current Liability in the Balance Sheet. **[1 Mark]**

• **Prepaid Expenses:** Represent unexhausted future economic benefits paid in advance; shown as a Current Asset in the Balance Sheet. **[1 Mark]**

3. Pass adjusting journal entries for the following year-end items: (a) Salaries outstanding Rs 8,000, (b) Insurance premium prepaid Rs 1,500, (c) Accrued interest on investments Rs 2,400. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Outstanding Salaries:** Debit Salaries $\frac{A}{c}$ Rs 8,000 and Credit Outstanding Salaries $\frac{A}{c}$ Rs 8,000 (expense increased, liability created). **[1 Mark]**

• **(b) Prepaid Insurance:** Debit Prepaid Insurance $\frac{A}{c}$ Rs 1,500 and Credit Insurance $\frac{A}{c}$ Rs 1,500 (asset created, expense reduced). **[1 Mark]**

• **(c) Accrued Interest:** Debit Accrued Interest $\frac{A}{c}$ Rs 2,400 and Credit Interest Received $\frac{A}{c}$ Rs 2,400 (asset created, income recognized). **[1 Mark]**

4. Explain the step-by-step procedure for calculating and presenting Provision for Doubtful Debts in the Profit and Loss Account and Balance Sheet. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Step 1:** Deduct further bad debts given in adjustments from Sundry Debtors to find the adjusted debtors balance. **[1 Mark]**

• **Step 2:** Apply the required percentage to adjusted debtors to calculate the New Provision. **[1 Mark]**

• **Step 3:** Debit P&L Account with (Bad Debts + New Provision - Old Provision). In Balance Sheet, deduct Further Bad Debts and New Provision from Debtors. **[1 Mark]**

5. A manager is entitled to a commission of 10 percent on net profits. Net profit before charging commission is Rs 66,000. Calculate commission if it is payable: (a) Before charging such commission, (b) After charging such commission. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Before Charging Commission:** Commission = Rs 66,000 * $\frac{10}{100}$ = Rs 6,600. **[1.5 Marks]**

• **(b) After Charging Commission:** Commission = Rs 66,000 * $\frac{10}{100+10}$ = Rs 66,000 * $\frac{10}{110}$ = Rs 6,000. **[1.5 Marks]**

6. Pass adjusting journal entries for: (a) Interest on Capital allowed at 6 percent on capital of Rs 2,00,000, (b) Interest on Drawings charged Rs 1,800, (c) Goods costing Rs 5,000 destroyed by fire, insurance company admitted claim for Rs 3,500. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Interest on Capital:** Debit Interest on Capital $\frac{A}{c}$ Rs 12,000 and Credit Capital $\frac{A}{c}$ Rs 12,000. **[1 Mark]**

• **(b) Interest on Drawings:** Debit Drawings $\frac{A}{c}$ Rs 1,800 and Credit Interest on Drawings $\frac{A}{c}$ Rs 1,800. **[1 Mark]**

• **(c) Fire Loss with Claim:** Debit Insurance Claim $\frac{A}{c}$ Rs 3,500, Debit Profit and Loss $\frac{A}{c}$ Rs 1,500, and Credit Purchases $\frac{A}{c}$ Rs 5,000. **[1 Mark]**

7. Sundry Debtors in Trial Balance are Rs 82,000. Bad Debts in Trial Balance are Rs 2,000. Provision for Doubtful Debts in Trial Balance is Rs 3,000. Adjustments: Write off further bad debts Rs 2,000 and maintain provision for doubtful debts at 5 percent on debtors. Show extracts of Profit and Loss Account and Balance Sheet. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **P&L Account Debit Calculation:** Old Bad Debts Rs 2,000 + Further Bad Debts Rs 2,000 + New Provision Rs 4,000 (5 percent on Rs 80,000) - Old Provision Rs 3,000 = Net P&L Debit Rs 5,000. **[2 Marks]**

• **Balance Sheet Asset Side:** Sundry Debtors Rs 82,000 - Further Bad Debts Rs 2,000 = Rs 80,000; Less New Provision (5 percent) Rs 4,000 = Net Sundry Debtors Rs 76,000 shown in Assets. **[2 Marks]**